

KCB Group: HY'22 Earnings Note

KCB Group HY'22 PAT, and EPS edged up 27.59% and 27.63%, respectively with both being above our expectations . PAT increase to **KES 34.17Bn** driven by a double boost of a 16.79% y/y increase in Total Operating income to **KES 59.81Bn** and a 34.40% y/y decline in Loan Loss Provisions to **KES 4.32Bn**.

Customer deposits grew 15.59% to **KES 908.57Bn** driven by term deposits while the loan book increased by 20.33% to **KES 730.34Bn,** taking the loan-to-deposit ratio 316bps higher to 80.38%. Loan book growth was driven by a 23.00% increase in Mobile loans such as Vooma (+34%), Fuliza (+31%), and KCB M-pesa (+2%) to **KES 91.00Bn.** Factoring in the completion of the TMB acquisition, we expect the lender to close FY'22 with an asset size of **KES 1.50Tn.**

- **Digital channels growth not enough to improve efficiency:** Cost to income ratio worsened 131bps y/y to 45.66%, despite the banks push for digital transaction channels with 98% of transactions happening outside the branch. CIR deterioration was driven by a faster 20.25% y/y increase in Operating expenses less impairment provisioning compared to an 16.79% increase in Total Operating Income (**KES 4.18Bn** contributed by digital channels). Non-bank transactions increased 47.00% to 225Mn largely driven by mobile lending and mobiservices. However, the staff costs increased by 16.21% to **KES 14.09Bn** from **KES 12.12Bn** recorded in HY'21.
- **Net Interest income lags Non funded Income:** Non-Interest income was above our expectations having grown by 29.89% to **KES 19.22Bn** mainly driven by a 32.89% y/y jump in income from loan fees and commissions. Furthermore, the impact of prevailing dollar shortage and Kenya shilling depreciation challenges was seen in the Forex trading income growth of 81.48% y/y, as the bid/ask spreads have widened to between 10-15.0% of the CBK indicative rate. Net Interest income grew slower at 11.47% y/y to **KES 40.59Bn** mainly on account of growth in interest from lending and government securities. Therefore, the revenue mix shifted to **68:32** for NII:NFI from **71:29** in HY'21, with a forward guidance of 67:33 by close of FY'22. The lenders balance between higher asset yields and sourcing for cheaper deposits let to a 118bp decline in the Net Interest Margin (NIM) to 7.43%.
- **Historical Asset quality concerns persist:** The Gross NPL stock increased 81.16% y/y to an industry high of **KES 173.42Bn** owing to elevated NPL ratios in subsidiaries such as NBK (33.90%), South Sudan (23.50%) and Kenya (22.80%) from sectors such as Manufacturing, construction and hospitality. NPL Ratio increased 700bps to **21.42%** from **14.38%** in HY'21, which is still above the current industry average of **14.70%.** Management has set a **15-17.00%** target NPL for the close of FY'22 owing to various recovery and loan book monitoring efforts. Meanwhile, the NPL Coverage worsened to **52.93%** from **59.78%** in HY'21 driven by Gross NPL growing faster than provisioning.

25th August 2022

Current price: KES 42.95

Target price: KES 52.45

Upside: 22.11%

Recomm: BUY

52 Week High: KES 48.65

52 Week Low: KES 35.00

YTD Performance: -5.50%

EPS (HY'22): KES 12.15

KCB Group 1-Year Share price Movement



Our View and Outlook

As we have observed in other listed banking sector HY'22 earnings releases, the effect of the rising yield curve on the mark-to-market for-sale government securities has contributed to fair value losses for most lenders. KCB's FV loss compared to the FVOCL assets was at -2.19% compared to a gain in HY'22.

The positive results are attributable to higher lending income and reduced provisioning supported by digital channels through transactions and digital loans. We take note of the continued strong growth in the balance sheet on the back of the integration and consolidation of the recently acquired regional subsidiaries. We are concerned with the historically, above industry average, NPL ratio despite reduced provisioning and normalization of previously restructured loans. Future growth in bank's earnings will be driven by digital channels, loan book growth and regional subsidiaries consolidation.

With the current growth rate, we expect the lender to close FY'22 with a PAT of **KES 39 - 41.00Bn** maintaining a similar payout ratio to FY'21, the end year dividend payment is likely to fall between KES 3.0-4.0. On the other hand, cashflow needs to complete the TMB deal by end of Q4'22 is likely to eat into dividend payment for FY'22. We view the lack of an interim dividend to likely be a key driver in short-term share price decline. However, we maintain our BUY recommendation with a conviction that the counter is currently undervalued with a PE of 3.53x below the market PE of 7.80x and a P/TBv of 0.84x against industry average of P/TBv of 0.93x.

Financial Statements Summary

Income Statement	FY'18	FY'19	FY'20	H1'21	FY'21	HY'22	% y/y Change
Net Interest Income	20.02	18.71	18.08	9.82	19.99	11.13	13.33%
Net non-Interest Income	5.43	5.77	6.12	3.32	6.31	3.92	17.78%
Total Operating income	**25.46**	**24.48**	**24.20**	**13.15**	**26.30**	**15.05**	**14.45%**
Provision for Impairment	(2.98)	(1.32)	(7.32)	(2.31)	(7.56)	(2.43)	5.22%
Total Operating expenses	(14.49)	(13.22)	(19.67)	(8.27)	(19.88)	(9.37)	13.35%
Profit before tax	**11.00**	**11.26**	**4.67**	**4.88**	**6.63**	**5.62**	**15.18%**
Profit after tax	**6.69**	**6.79**	**3.25**	**2.93**	**3.91**	**3.58**	**22.30%**
Core EPS	25.83	26.00	11.61	10.48	13.98	12.82	22.33%
DPS	2.60	2.70	-	-	3.00	-	

Balance Sheet	FY'18	FY'19	FY'20	H1'21	FY'21	HY'22	% y/y Change
Government Securities	117.33	132.46	148.38	138.82	168.98	174.68	25.83%
Loans and Advances	193.07	199.09	208.59	204.33	220.43	233.62	14.34%
Total Assets	**377.72**	**386.23**	**425.05**	**429.58**	**456.84**	**485.04**	**12.91%**
Customer Deposits	282.86	280.19	298.17	313.80	331.45	346.49	10.42%
Total Liabilities	318.78	321.71	356.74	357.45	382.29	408.43	14.26%
Shareholder's Funds	**53.66**	**58.85**	**61.97**	**65.36**	**67.29**	**68.89**	**5.40%**

Key Ratio	H1''21	HY'22	% y/y Change
Yield from Earning Assets	11.15%	11.00%	(0.15%)
Cost of funding	2.65%	3.00%	0.35%
Net Interest Margin	8.60%	7.43%	(1.18%)
Non-Performing Loans (NPL) Ratio	14.38%	21.42%	7.04%
Cost to Income Ratio	44.35%	45.66%	1.31%
Loan to Deposit Ratio	77.22%	80.38%	3.16%
Return on average Equity	18.89%	23.20%	4.31%
Liquidity Ratio	40.10%	39.00%	(1.10%)
Core Capital/TRWA	18.70%	17.80%	(0.90%)
Total Capital/TRWA	22.00%	21.70%	(0.30%)

Source: Company filings, AIB-AXYS



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